

Line 5

Case Name: *Gloria Guohang Zhang et al. v. BioVision Inc. et al.*

Case No.: 25CV461808

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

Respondents BioVision, Inc. and Abcam U.S. Group Holdings, Inc. (collectively, the “Respondents”) move under C.C.P. § 1286.2 for an Order vacating the Final Arbitration Award, dated February 19, 2025 (the “Award”) that was entered in favor of Petitioners Gloria Guohang Zhang (“Zhang”) and Gordon Guochen Yan (“Yan”) (collectively, “the Petitioners”). In the Alternative, Respondents move under C.C.P. § 1286.6 for an Order correcting the Award.

The plain text of Sections 1286.2(a)(4) and 1286.6(b)—which Respondents invoke to vacate or, in the Alternative, correct the Award—expressly hinges on whether the Arbitrator “exceeded [her] powers.” CCP. §§ 1286.2(a)(4) & 1286.6(b). So here, if the Arbitrator did not exceed her powers in the Award then this Motion under 1286.2(a)(4) and 1286.6(b) would be baseless and fail.

Respondents’ argument that the Arbitrator exceeded her powers goes like this:

1. An arbitrator exceeds her powers if the Award violates public policy.
2. Non-compete agreements are generally unenforceable as a matter of public policy under Bus. & Prof. Code § 16600.
3. The Arbitrator interpreted and applied Section 16601’s statutory exception to this policy of Section 16600 by finding that the non-competes here were entered into in conjunction with the sale of BioVision business. Bus. & Prof. Code § 16601.
4. The Arbitrator is wrong as a matter of interpretation and application because (Respondents argue) the non-competes here do not fall within the statutory exception of Section 16601.
5. Respondents conclude: “Therefore, the Secondary Non-Compete Agreements do not fall within the statutory exception outlined in section 16601 *and are in violation of California’s well-defined public policy.*”

MPA ISO Mot. to Vacate at 6 & 9-11 (emphasis added).

But there is a false premise in Respondent’s argument: that if the Arbitrator incorrectly interpreted and applied Section 16601 “therefore” the Arbitration violated the policy of 16600. The premise is false as a matter of logic and law for all the reasons

explained in the Court of Appeal decision in *SingerLewak LLP v. Gantman*, 241 Cal. App. 4th 610 (2015) that is directly on point:

[T]he policy embodied in section 16600 has exceptions, and this case concerned one of those exceptions. . . . [W]e do not find that the arbitrator’s award, even if incorrect in its interpretation and application of section 16602, contravened an explicit legislative express of public policy that undermined the presumption in favor of private arbitration. While there is undeniably an explicit express of public policy embodied in Section 16600, section 16602 *creates an exception to this policy*, and that provision governed this case.

SingerLewak LLP, 241 Cal. App. 4th at 624 (emphasis added) (internal citations omitted). Just as *SingerLewak LLP* involved application of the statutory exception of 16602 that creates an exception to the public-policy of 16600, this case involves the application of the statutory exception of 16601 that likewise “creates an exception to this policy.” *Id.*; see Petitioners’ Opp to Mot. to Vacate at 5-8.

While Respondents strenuously object to how the arbitrator interpreted and applied Section 16601 MPA ISO Mot. to Vacate at 6 & 9-11, the interpretation and application of Section 16601 were contested issues submitted to the Arbitrator for decision. Award at 19-21. Her “resolution of those issues is what the parties bargained for in the arbitration agreement.” *SingerLewak LLP*, 241 Cal. App. 4th at 624 (citing *Moncharsh v. Heily & Blasé*, 3 Cal. 4th 1, 6, 28 (1992)(California Supreme Court holding that “an arbitrator’s decision is not generally reviewable for errors of fact or law, whether or not such error appears on the face of the award and causes substantial injustice to the parties” and that “[i]t is well settled that arbitrators do not exceed their powers merely because they assign an erroneous reason for their decision.”).

In light of *SingerLewak* and *Moncharsh*, Respondents’ argument that the Arbitrator exceeded her powers here fails. Regardless of how strongly Respondents believe that that the Arbitrator incorrectly interpreted and applied Section 16601, the Arbitrator’s interpretation and application of this statutory exception that our Legislature has created and blessed as an exception to the public policy of Section 16600 is not a violation of this same policy. *SingerLewak LLP*, 241 Cal. App. 4th at 624; *Moncharsh v. Heily & Blasé*, 3 Cal. 4th at 28.

As the Arbitrator’s award did not violate public policy under Section 16600 by applying an explicit legislative exception to that same policy under Section 16601, the Arbitration did not exceed her powers within the meaning of Code of Civil Procedure Sections 1286.2(a)(4) and 1286.6(b). *SingerLewak LLP*, 241 Cal. App. 4th at 622 (citing *Richey v. AutoNation Inc.*, 60 Cal. 4th 909, 916) (2015)). And because the Arbitrator did not exceed her powers here, this Award is not reviewable—that is the end of the matter and this Court will not proceed to “step two” to second-guess whether the Award should be upheld or corrected. *SingerLewak LLP*, 241 Cal. App. 4th at 622 (explaining the “two-step process” to evaluating challenges to an arbitration award under *Board of*

Education v. Round Valley Teachers Assn., 13 Cal. 4th 269, 276 (1996) and *Aguilar v. Lerner*, 32 Cal. 4th 974, 981 (2004)).

The bottom line is that because the Arbitrator here did *not* exceed her powers in the Award, judicial review of that Award is inappropriate and groundless under Code of Civil Procedure Sections 1286.2 and 1286.6 that would only be triggered if and when the Arbitrator “exceeded [her] powers.” CCP. §§ 1286.2(a)(4) & 1286.6(b).

Accordingly, Respondents’ Motion to Vacate or, in the Alternative, Correct the Arbitration Award is **DENIED** without prejudice in all respects.

IT IS SO ORDERED.

Date: November 5, 2025

Hon. Vincent I. Parrett
Superior Court of the State of California,
County of Santa Clara

Line 6

Line 7

Line 8

Line 9

Line 10

Line 11

Line 12

Line 13

Line 14

Line 15